

A WEEKEND GUIDE FOR FOUNDERS

Fundable Numbers.

Build a startup financial model investors trust. In one weekend.

the hockey stick nobody believes

the one you can defend

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17 pages · 8 chapters
Worked example · Checklists

START HERE

Investors don't fund spreadsheets. They fund assumptions they believe.

Free templates are everywhere. That isn't the problem. The problem is that most founders fill one in, pick numbers that look good, and then fall apart on the first question an investor asks.

This guide fixes that. It is short on purpose. Each chapter is one decision you need to get right, with a worked example you can copy.

By Sunday night you will have

A 4-tab model

Inputs, revenue, team and costs, and cash. No 40-tab monster.

Revenue built from drivers

Customers come from a funnel you can explain, not a growth rate you typed.

Runway and a raise amount

The exact amount to ask for, and what it buys you.

Answers to 10 investor questions

Written down before the meeting, not improvised during it.

Who this is for: pre-seed and seed founders (SaaS, marketplaces, consumer apps, service businesses) who can use Excel or Google Sheets but aren't finance people.

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Eight chapters. One weekend.

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How to use it: read chapters 1 to 3 on Friday night (about 40 minutes), then follow the weekend plan on page 14.

01

RED FLAGS

Why investors don't trust your spreadsheet

An investor sees dozens of models a month. These six patterns get noticed within minutes and quietly lower trust in everything else.

Red flag	What the investor thinks	Fix
Growth typed as a % "Revenue grows 20% a month"	"Nothing drives this. It's a wish."	Build customers from a funnel (ch. 3)
Top-down market share "1% of a \$10B market"	"They haven't worked out how they'll get a single customer."	Bottom-up only. Keep TAM for the deck.
Costs that don't scale Revenue 10x, support costs flat	"Margins are fiction."	Tie variable costs to customers or revenue
Profit, no cash No cash tab	"They don't know when they run out of money."	A monthly cash and runway line (ch. 6)
Hardcoded numbers =B4*1.2 inside formulas	"I can't change anything without breaking it."	Every assumption lives on the Inputs tab
Precision theatre Year-5 revenue of \$41,382,117	"False confidence."	Round outer years. Detail only where you have data.

The test: point at any number in your model. If you can't say in one sentence where it comes from, it's a red flag.

02

STRUCTURE

The only 4 tabs you need

At seed stage a simple, clear model beats a big one. Each tab feeds the next, and every assumption sits in one place.

1 • Inputs

Every assumption: prices, conversion rates, churn, salaries, hiring dates. Blue font. Nothing is calculated here.



2 • Revenue engine

Traffic → leads → customers → revenue, month by month. Customers lost to churn are subtracted here.



3 • Team & costs

Hiring plan by role and start month, cost of goods sold (servers, payment fees, support), marketing and overheads.



4 • Cash & summary

Monthly P&L, cash balance, burn, runway, and 4 to 6 charts for the deck.

Three formatting rules investors notice

Blue = inputs you typed

Black = formulas

Green = links to other tabs

Monthly columns for the first 24 months, then yearly for years 3 to 5. Nobody believes month 47.

03

REVENUE

Build revenue from the bottom up

Top-down says "the market is huge, so we get a slice." Bottom-up says "this is how each customer arrives." Only bottom-up works in a model.

TOP-DOWN

"SME accounting in our region is a \$2B market. If we capture 1%, that's \$20M."

Problem: says nothing about how. Every competitor can write the same sentence.

BOTTOM-UP

"\$3,000 a month on ads brings 2,000 visitors. 4% start a trial and 20% of those pay \$49 a month."

Strength: each number can be tested, and improving one improves the result.

The driver chain

```
New customers = Visitors × Visit→Trial % × Trial→Paid %  
Customers(t) = Customers(t-1) + New - Customers(t-1) × Monthly churn %  
MRR(t) = Customers(t) × ARPA
```

Use the same chain for any model. A marketplace uses listings → buyers → orders × take rate. A service business uses leads → calls → closed deals × average contract.

Where do the rates come from? In order of credibility: your own data from the last 3 to 6 months, a pilot or waitlist, a comparable company's public numbers, and only then industry benchmarks. Note the source of every rate in your assumption log (page 13).

One month of revenue, step by step

Line	Driver	Value
Paid ad spend	Input	\$3,000
Cost per click	Input (from ad account)	\$1.50
Paid visitors	$3,000 \div 1.50$	2,000
Organic visitors	Input (analytics, 3-month average)	1,000
Trials	$3,000 \text{ visitors} \times 4\%$	120
New paying customers	$120 \times 20\%$	24
Customers start of month	Previous month	300
Churned customers	$300 \times 4\%$	-12
Customers end of month	$300 + 24 - 12$	312
MRR	$312 \times \\$49 \text{ ARPA}$	\$15,288

Now copy it across 24 columns

Grow the inputs, not the output. For example, ad spend rises as you raise, and trial conversion improves by 0.25 points per quarter after the onboarding redesign. Every change has a reason you can say out loud.

Watch for this: when you scale ad spend 5x, cost per click rarely stays flat. Add a line that raises CPC by 10 to 20% at each spend step. It's the first thing a sharp investor asks.

CAC, LTV and payback: the numbers that hold up

CAC (paid)	= Paid spend ÷ Customers from paid	= 3,000 ÷ 16 = \$187.50
LTV	= ARPA × Gross margin ÷ Monthly churn	= 49 × 80% ÷ 4% = \$980
LTV : CAC	= 980 ÷ 187.50	= 5.2x
CAC payback	= CAC ÷ (ARPA × Gross margin)	= 187.50 ÷ 39.20 = 4.8 months

Paid customers are the 2,000 paid visitors × 4% × 20% = 16. Blended CAC, dividing spend by all 24 customers, gives \$125 and makes you look better than you are. Investors know this, so show **paid CAC**.

Rule-of-thumb ranges investors use

Metric	Healthy	Concerning
LTV : CAC	3x or more	Below 1.5x
CAC payback (SMB SaaS)	Under 12 months	Over 24 months
Gross margin (software)	70–85%	Under 50%
Burn multiple (net burn ÷ net new ARR)	Under 1.5	Over 3

These are common rules of thumb, not laws. Ranges differ by sector and stage, so check them against companies like yours. At pre-seed, investors care more that your logic is sound than that you hit these numbers.

05

COSTS

Team and costs: where burn really comes from

At most early-stage startups, people are the biggest cost. Get the hiring plan right and most of the cost model follows.

Role	Start month	Base salary / yr	Fully loaded / mo
Founder × 2	1	\$36,000	\$6,900
Senior engineer	2	\$42,000	\$4,025
Growth marketer	4	\$30,000	\$2,875
Customer success	7	\$18,000	\$1,725

Fully loaded = base × 1.15, plus or minus benefits, payroll taxes and equipment. The multiplier varies by country (roughly 1.1–1.4), so use your own.

Three cost buckets

Cost of goods sold

Hosting, payment fees, third-party APIs, support. *Scales with customers.*

Growth

Ad spend, tools and content. *Drives your funnel (ch. 3).*

Overheads

Rent, legal, accounting, software. *Mostly fixed. Step up when you hire.*

Link, don't type: payment fees = revenue × fee %. Hosting = customers × cost per customer. Tie each variable cost to its driver so your margins stay honest as you scale.

06

CASH

Cash, runway and how much to raise

Profit is an opinion and cash is a fact. The cash line tells you when the company dies, so it matters most.

Net burn = Cash out – Cash in (per month)
Runway = Cash balance ÷ Net burn
Raise = (Monthly net burn × months to next milestone) + 20–25% buffer

Example

Cash \$600k, net burn \$40k a month → **15 months** of runway. A raise normally needs to buy 18–24 months, so plan to raise again with at least 6 months left.

Ask for a milestone, not a number

"\$1.2M takes us to \$100k MRR in 20 months, which is the metric next-round investors look for." That's an argument. "\$1.2M" alone is not.

Use of funds (example \$1.2M seed)

Bucket	Share	Amount	Buys
Product & engineering	50%	\$600k	3 engineering hires, 20 months
Go-to-market	30%	\$360k	Growth hire + paid acquisition
Operations & admin	10%	\$120k	Legal, finance, tools
Buffer	10%	\$120k	Delays happen

07

SCENARIOS

Scenarios that survive

One forecast is a guess. Three scenarios show you've thought about what goes wrong, and what you'd do about it.

Input	Downside	Base	Upside
Visit → trial	3.0%	4.0%	5.0%
Trial → paid	15%	20%	24%
Monthly churn	6%	4%	3%
Cost per click	\$2.00	\$1.50	\$1.30
Hiring	Delayed 3 mo	Plan	Plan

Build it in 10 minutes

- Put the three columns on the Inputs tab, with one cell saying 1, 2 or 3.
- Use `=CHOOSE(scenario, downside, base, upside)` to feed the live input.
- The whole model switches when you change one cell. Investors love this in a live meeting.

The downside rule: in your downside case, show what you'd cut (delay hires, reduce ad spend) to keep at least 9–12 months of runway. Showing you can survive the downside builds more trust than an impressive upside.

08

THE MEETING

Defending your numbers: 10 questions to prepare for

They ask	A strong answer points to
1. What has to be true for this revenue?	The 3 drivers, and evidence for each
2. Where does your conversion rate come from?	Your own data or a pilot, with dates
3. Why does CAC stay flat as you scale?	"It doesn't. We step CPC up 15% per spend tier."
4. What if growth is half your plan?	Your downside scenario and what you'd cut
5. When do you need to raise again?	Runway month and the milestone you'll hit first
6. What's your biggest cost and why?	The hiring plan, tied to product or revenue goals
7. How did you size the team?	Workload per hire (e.g. 1 support hire per 400 customers)
8. Why this amount and not half?	What half buys, and why that milestone is too weak
9. How does gross margin improve?	Specific cost lines that fall per customer at scale
10. Which assumption are you least sure of?	Name it honestly, and say how you'll test it

Question 10 is a trust test. "None, we're confident" is the wrong answer. Naming your weakest assumption, with a plan to test it, shows you understand your own business.

TOOL 1

The assumption log

One row per important input. Bring it to every investor meeting. It turns "trust me" into "here's why".

Assumption	Value	Source & date	Confidence	How we'll test it
Visit → trial	4.0%	Analytics, Apr–Jun avg	High	Track weekly
Trial → paid	20%	Last 90 trials (18 paid)	Medium	Onboarding A/B test
Monthly churn	4%	Only 5 months of data	Low	Cohort review in Q3

TOOL 2

The weekend plan

About 12 focused hours. Close Slack and follow the clock.

Saturday

09:00	Gather actuals Last 6 months of revenue, costs, traffic and conversions
10:00	Inputs tab Every assumption in blue, with a source note
12:00	Break
13:00	Revenue engine Driver chain, 24 monthly columns
16:00	Hiring plan Roles, start months, fully loaded cost
18:00	Stop Sanity-check growth against chapter 1

Sunday

09:00	Costs COGS linked to drivers, plus overheads
11:00	Cash & runway Monthly cash line, raise amount
13:00	Break
14:00	Scenarios CHOOSE switch, downside cuts
16:00	Assumption log Fill it in from your Inputs tab
17:00	Checklist Page 15, then write answers to the 10 questions

Stuck on a step? Leave it in blue with a note, keep going, and come back later. A finished, rough model beats a perfect half-model.

Before you hit send: 15 checks

- | | |
|---|---|
| ☐ Every input is on the Inputs tab, in blue | ☐ Runway month is clearly labelled |
| ☐ No numbers typed inside formulas | ☐ Raise amount = burn × months + buffer |
| ☐ Revenue comes from a driver chain, not a % growth rate | ☐ Use of funds adds up to 100% |
| ☐ Churn is subtracted every month | ☐ Downside case keeps 9 or more months of runway |
| ☐ CPC or CAC rises as spend scales | ☐ Years 3–5 are rounded and yearly |
| ☐ Variable costs are linked to customers or revenue | ☐ Assumption log is filled in |
| ☐ Hiring plan has start months | ☐ You've written answers to all 10 questions |
| ☐ Cash tab shows a monthly balance | |

Last step: send the model to one finance-minded friend and ask: "Which number do you believe least?" Fix that one before investors see it.

Glossary: plain-English definitions

MRR / ARR: monthly or annual recurring revenue. $ARR = MRR \times 12$.

CAC: customer acquisition cost. $Spend \div customers\ won$.

Churn: % of customers (or revenue) lost each month.

COGS: costs that rise with each sale or customer.

Runway: months until cash hits zero at the current burn.

Burn multiple: $net\ burn \div net\ new\ ARR$. Lower is better.

Use of funds: how the raise is split across spending categories.

Scenario: a full set of inputs (downside, base or upside) that drives the model.

ARPA: average revenue per account, per month.

LTV: lifetime value. Gross profit a customer brings before they leave.

Gross margin: $(Revenue - COGS) \div Revenue$.

Net burn: cash out minus cash in, per month.

CAC payback: months of gross profit needed to earn back CAC.

Default alive: you reach profit before cash runs out, without new funding.

Bottom-up: revenue built from customer-level drivers.

Fully loaded cost: salary plus benefits, taxes and equipment.

SHORT ON TIME?

Want it built for you instead?

If your raise is close and you'd rather spend the weekend on customers, I'll build your model with you, using everything in this guide.

5 days

Investor-ready financial model: 4-tab structure, bottom-up revenue, hiring plan, cash and runway, three scenarios, filled-in assumption log, and a 10-minute walkthrough video.

You pay 50% to start and the rest only when you're comfortable sending it to investors.

Already have a model?

Ask for a review. I'll send back the 3 things an investor is most likely to challenge.

Get in touch

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How it works

1

15-minute call

Your business, your raise, and what investors will ask.

2

5-day build

I build the model from your data, with one check-in halfway.

3

Walkthrough

A video tour, one revision round, and you own every formula.